# Alphabet (GOOGL) | Earnings Update

3Q26 (FY26) | 29 October 2026 | Josh, earnings desk (Trevor on transcripts)

Post-call version: release, 10-Q and call transcript reflected. Sources: 3Q26 8-K Ex. 99.1, 3Q26 10-Q, 3Q26 call transcript (Quartr via StockAnalysis); history from 3Q25 to 2Q26 releases and transcripts (five quarters). No knowledge base on scheduled runs; web-retrieved documents only.

## 1 Executive snapshot

**Consensus thesis.** Investors own Alphabet as the only hyperscaler with its own full stack (TPUs, Gemini, Cloud) and pay for Cloud growing near 90% off a $514bn backlog, with external TPU sales a second engine in 2027 that justifies about $200bn of 2026 capex and $300bn or more in 2027, funded mainly by operating cash flow and Aa2/AA+ debt.

**Thesis status: Monitoring.** Pillars: Cloud growth confirmed; Cloud margin and TPU scale unresolved; funding and off-balance-sheet build challenged; none broken.

**Versus expectations.** Quarter: miss. Revenue $127.6bn was 0.5% below LSEG ($128.2bn) and in line with Yahoo ($127.85bn); EPS excluding the $0.55 equity-mark loss was $2.67 against $3.00 to $3.02; Cloud beat ($30.7bn vs $29.16bn). Outlook: in line on capex (FY26 $195bn to $205bn unchanged, 2027 deferred to January), below on Search and Cloud margin.

**Biggest changes**

- Cloud beat and doubled: revenue $30.7bn (+103%), operating margin 36.2% (35.6% in 2Q26), backlog $560.8bn (+$46.9bn QoQ). TPU system sales were a 'meaningful contributor' but are not sized.
- Search slowed: Search & other $63.35bn, +12.0% against +16.8% in 2Q26 and flat QoQ; advertising $82.0bn vs $83.4bn expected (Reuters/LSEG). The stock fell about 13% to $281.95 by mid-morning on 29 October.
- Cash burn deepened: capex $51.4bn (121% of operating cash flow), FCF -$9.1bn after -$5.9bn in 2Q26, with a $10.9bn YTD TPU inventory build and a $5.2bn EC fine. The unchanged guide implies 4Q capex of $63bn to $73bn.
- Off-balance-sheet commitments jumped: leases not yet commenced $130.5bn (+53% QoQ), backstops $75.7bn ($48.0bn executed, $27.7bn to come, $10bn of it for the Blackstone JV Crux AI), energy-equipment guarantees $16.2bn (from $7.6bn), purchase commitments $924.4bn.
- Funding kept flowing: $28.7bn of notes (5.55% weighted coupon, 15-year average life on the dollar tranches) and $12.4bn of ATM stock in the quarter; long-term debt $125.1bn against $46.5bn at year-end.

**Investor takeaway.** The consensus view should shift from 'Cloud pays for the build' to 'Cloud is growing into a build that Search, debt and off-balance-sheet support now carry': long-term compounding holds on Cloud and TPUs, but credit quality weakens at the margin as commitments grow faster than cash generation.

**What to monitor next quarter**

1. January call: the 2027 capex number (Street about $300bn to $330bn), its funding mix and any FCF floor.
2. 4Q Cloud margin as third-party bridging capacity ramps (management guided to near-term headwinds).
3. Search growth after FX and lapping (management: about 2 points of lapping drag in 4Q) and ad load in AI Mode.

## 2 Key changes this quarter

| Pillar | Market assumed | Quarter showed | Verdict | Source |
|---|---|---|---|---|
| P1 Cloud hypergrowth | Cloud about $29.2bn (+89% to 92%); backlog above $514bn | $30.7bn (+103%); backlog $560.8bn; 2,600 customers above 100bn tokens; capacity still constrained | Confirmed | Release; 10-Q; call |
| P2 Cloud margin holds | Mid-30s despite rented capacity; 'modest' pressure in 3Q | 36.2%, but bridging capacity arrived only at quarter end; headwinds now guided for 4Q | Unresolved | Release; call |
| P3 TPU second engine | External TPU sales become a large 2027 line | Meaningful contributor; about 100 TPU customers; new Oracle and Crux AI channels; inventory $13.3bn; no revenue figure | Unresolved | Call; 10-Q |
| P4 Capex funded, earns a return | About $200bn in 2026, OCF and Aa2 debt first, no new equity | FCF -$9.1bn vs near breakeven expected; 4Q capex implied $63bn to $73bn; $28.7bn notes and $12.4bn ATM in 3Q; 2027 frame deferred | Challenged | Release; 10-Q; Reuters |
| P5 Off-balance-sheet manageable | Backstops and leases collateralized by usable assets | Leases not yet commenced +$45.3bn to $130.5bn; backstops $75.7bn; guarantees $22.8bn incl. $6.6bn TPU buybacks; no analyst asked | Challenged | 10-Q |

**Emphasized more:** TPU systems as a platform sold through others (Oracle, Crux AI, Cirrascale); Gemini 4 Argon and Carbon; agentic commerce (UCP, Universal Cart); ROIC 'meaningfully above' cost of capital.

**Emphasized less or dropped:** Search acceleration (now framed as lapping and FX); the 'modest' Cloud margin wording; any FCF target; the SpaceX GPU deal (not mentioned on the call).

**KPIs:** More important: inventory (TPU working capital), leases not yet commenced, backstop and guarantee totals, Search growth. Less important: headline EPS, which swings with the SpaceX mark (-$8.7bn in 3Q).

**Risks:** Up: funding and refinancing, off-balance-sheet exposure, Search monetization in AI Mode, GPU/TPU residual value (repurchase guarantees). Down: Cloud demand, model competitiveness (Gemini 4 leads the Artificial Analysis index, per management).

→ *The quarter moved the debate from 'is demand there' to 'who pays while it arrives'.*

### Analyst focus matrix (Trevor)

| Topic (questions touching it) | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 3Q26 | Trend |
|---|---|---|---|---|---|---|
| Search monetization and agentic | 6 | 5 | 5 | 2 | 5 | Persistent |
| TPUs and custom silicon | 1 | 1 | 2 | 4 | 4 | Rising |
| Cloud and TPU margins, deal economics | 1 | 0 | 2 | 2 | 2 | Persistent |
| Compute capacity and allocation | 0 | 1 | 2 | 1 | 2 | Persistent |
| Capex, ROIC and returns | 1 | 2 | 2 | 2 | 1 | Fading |
| Funding, FCF, capital structure | 0 | 1 | 0 | 1 | 0 | Fading |
| Backstops, leases, power, concentration | 0 | 0 | 0 | 0 | 0 | Never asked |

3Q26 answers: Search slowdown (Anmuth, Nowak) direct: FX, the EU de minimis change, World Cup timing and lower AI Mode monetization. TPU margins (Sandler, Post) deflected: 'we do not provide' product financials. Cloud growth ex-TPU (Shmulik) deflected: 'again very strong'. Capex intensity as labs build their own (Sandler) partial: TPU sales described as an inventory cycle, not capex. Pre-emption: the CFO addressed ROIC and FCF in prepared remarks, and no analyst followed up.

### Trevor's watch-list

| Analyst | Quarter | Question (trimmed) | Answer in brief | Rating | Later evidence |
|---|---|---|---|---|---|
| Doug Anmuth, JPMorgan (chosen: most often on funding) | 1Q26 | Can the capex path service the backlog? | Capex rises to meet demand; detail later | Partial | Backlog $561bn; capex $51.4bn in 3Q |
| | 2Q26 | Optimal capital structure; cost of debt vs equity | OCF first, then debt; no more equity except ATM for SBC taxes | Direct | $12.4bn ATM in 3Q; $17.4bn YTD SBC payments |
| | 3Q26 | Productivity from new models; Search slowdown | Answered on FX and AI Mode; no funding question | Direct | Funding left unasked |
| Ross Sandler, Barclays | 3Q26 | TPU revenue recognition, margin, capex hand-off to labs | No product financials; inventory before revenue | Deflected | Inventory $13.3bn; $6.6bn repurchase guarantees |

## 3 KPI dashboard

| Metric | 3Q26 | 2Q26 | 3Q25 | QoQ / YoY | Trend |
|---|---|---|---|---|---|
| Revenue | $127.58bn | $119.80bn | $102.35bn | [~] +6.5% / [↑] +24.7% | Steady |
| Search & other | $63.35bn | $63.27bn | $56.57bn | [~] +0.1% / [↓] +12.0% | Slowing (16.8% in 2Q) |
| YouTube ads | $11.21bn | $11.06bn | $10.26bn | [~] +1.4% / [~] +9.2% | Flat growth |
| Google Cloud revenue | $30.71bn | $24.77bn | $15.16bn | [↑] +24.0% / [↑] +102.6% | Accelerating |
| Cloud operating income (margin) | $11.12bn (36.2%) | $8.81bn (35.6%) | $3.59bn (23.7%) | [↑] / [↑] | Rising |
| Operating margin, Alphabet | 31.8% | 34.0% | 30.5% | [↓] -2.2pp / [~] +1.3pp | Mixed |
| Depreciation | $8.37bn | $7.10bn | $5.61bn | [↓] +17.8% / [↓] +49.2% | Rising |
| Capex | $51.36bn | $44.92bn | $23.95bn | [↓] +14.3% / [↓] +114.4% | Rising |
| Operating cash flow | $42.29bn | $39.07bn | $48.41bn | [↑] +8.2% / [↓] -12.6% | Below 2025 |

| Metric | 3Q26 | 2Q26 | 3Q25 | QoQ / YoY | Trend |
|---|---|---|---|---|---|
| Free cash flow | -$9.07bn | -$5.86bn | $24.46bn | [↓] / [↓] | Negative 2 quarters |
| Inventory (mostly TPU systems) | $13.31bn | $9.99bn | $2.44bn (YE25) | [?] +33% | Building |
| Cloud backlog | $560.8bn | $513.9bn | $155bn | [↑] +9.1% / [↑] 3.6x | Rising |
| Leases not yet commenced | $130.5bn | $85.2bn | n.a. | [↓] +53% | Rising |
| Data center backstops (executed / to come) | $48.0bn / $27.7bn | $43.8bn / $24.1bn | $16.9bn (YE25) | [↓] +$7.8bn total | Rising |
| Financial guarantees (energy / TPU buyback) | $16.2bn / $6.6bn | $7.6bn / n.d. | n.a. | [↓] new TPU line | Rising |
| Purchase commitments | $924.4bn | $811.0bn | n.a. | [↓] +14.0% | Rising |
| Long-term debt | $125.10bn | $98.17bn | $46.55bn (YE25) | [↓] +27% | Rising |
| Cash and marketable securities | $265.10bn | $242.47bn | $126.84bn (YE25) | [↑] +9.3% | Rising |
| Diluted EPS (excl. equity marks) | $2.12 ($2.67) | $9.11 (about $2.85) | $2.87 | [?] marks distort | Down |
| Diluted shares | 12,368mn | 12,309mn | 12,203mn | [↓] +0.5% / +1.4% | Rising |
| First-party API tokens per minute | about 32bn | about 22bn | under 8bn | [↑] +40% / 4x+ | Rising |

Flags: for cost, capex, debt, commitments and share count, [↓] means worse for shareholders. 3Q25 backlog from the 3Q25 call; YE25 = 31 December 2025 where the 3Q25 figure is not comparable. Sources: 3Q26 and 2Q26 8-K Ex. 99.1, 3Q26 10-Q, call transcripts.

## 4 Guidance analysis

| Metric | Guidance | vs. prior | vs. consensus | Mgmt explanation | Analyst read |
|---|---|---|---|---|---|
| FY26 capex | $195bn to $205bn | Maintained | Street about $202bn | Demand across Cloud, Search, research | Implies 4Q $63bn to $73bn, above 3Q's $51.4bn |
| FY27 capex | 'Increase significantly'; detail on 4Q call | Maintained, number deferred | Street about $300bn to $330bn | Supply constrained; long-range ROIC plans | Saltsburg (Check Capital): a $300bn figure 'could scare' |
| Cloud margin | Near-term headwinds as third-party capacity ramps in 4Q | Pushed out (was 'modest' pressure in 3Q) | n.a. | Bridging capacity came online only at the end of 3Q | Margin test moves to 4Q |
| TPU systems | Scale in 4Q, 'meaningful' ramp in 2027 | Maintained | n.a. | Inventory built only against signed contracts | Upside case; size still unknown |
| Search growth | FX headwind and about 2 points of lapping drag in 4Q | New | Ads missed by $1.4bn (LSEG) | AI Mode monetizes lower for now; ads expanding | Wagner (Aptus): stock trades lower until AI is additive |
| FCF and funding | FCF 'under pressure'; ROIC above cost of capital | Maintained | LSEG near breakeven for 3Q | TPU inventory, EC fine, capex | No funding guide; no analyst asked |

**Underlying economic performance: improving in Cloud, slowing in Search, and more capital-hungry overall.**

## 5 Strategic / moat evolution

| Dimension | Condition | Direction | Key observations | Investment implication |
|---|---|---|---|---|
| Full stack (chips, models, cloud) | Strong | Up | Gemini 4 Carbon tops Artificial Analysis (per management); TPU 8t/8i; TorchTPU with Meta | Supports pricing and Cloud share |
| Customer credit and diversity | Strong, concentrating | Mixed | 18 Cloud lines above $1bn; but Anthropic, Apple, Crux AI ($16.8bn related-party backlog) carry TPU demand | Backlog quality depends on a few labs |
| Cost of capital vs peers | Strong | Down | Notes at 5.55% weighted coupon; ATM in use; record hyperscaler CDS in October (press) | Cheapest money in the sector, but getting dearer |
| Capacity and power access | Constrained | Flat | Renting third-party capacity; $16.2bn of guarantees for counterparties' power equipment | Power is the bottleneck, bought with guarantees |

| Dimension | Condition | Direction | Key observations | Investment implication |
|---|---|---|---|---|
| Distribution (Search, Android, YouTube) | Strong | Down | Query growth at a 5-year high but Search revenue +12%; AI Mode monetizes lower | Core cash engine slowing as capex doubles |

5 to 10 years: Alphabet is turning into a compute utility with a consumer ads business attached. The moat widens if TPUs become an industry platform sold through others, and narrows if Search margins fall faster than Cloud and TPU margins rise.

## 6 Major risks and changes

| Risk | Prior status | Current | Direction | Implication |
|---|---|---|---|---|
| Funding and FCF | FCF -$5.9bn; 'no more equity' | FCF -$9.1bn; ATM $12.4bn; 4Q capex $63bn to $73bn | Up | More issuance in 2027; credit spreads matter for equity |
| Off-balance-sheet build | Leases $85.2bn; backstops $67.9bn | Leases $130.5bn; backstops $75.7bn; guarantees $22.8bn | Up | Lease-adjusted leverage rises well ahead of revenue |
| Search monetization | +17% growth | +12%; ads below consensus | Up | Cash engine for capex weakens |
| TPU residual value | Not disclosed | $6.6bn repurchase guarantees on sold TPUs | New | Hardware risk returns to Google if prices fall |
| Lab concentration | Anthropic 3.5 GW from 2027 | Crux AI $16.8bn backlog (related party); Anthropic direct and via Broadcom | Up | Backlog tied to a few counterparties |
| Cloud demand | Constrained | Constrained; +103% | Down | Demand not the issue |

| Concern | Response | Evidence |
|---|---|---|
| FCF is negative and capex is still rising. | ROIC 'meaningfully above' cost of capital; TPU inventory is a cash cycle, not capex. | Inventory up $10.9bn YTD; capex/OCF 121%; no ROIC figure given. |
| Rented capacity will dilute Cloud margins. | Bridging capacity arrived late; headwinds 'near term'. | 3Q margin 36.2%; short-term lease commitment about $6.0bn; 4Q is the test. |
| Backstops make Google the sector's guarantor. | Not addressed on the call. | 10-Q: $48.0bn executed (terms up to 15 years) plus $27.7bn to come, $10bn of it for Crux AI. |

## 7 Capital, funding and per-share impact

| Quarter | OCF | Capex | Capex/OCF | FCF | Debt issued | Equity raised | LT debt (end) |
|---|---|---|---|---|---|---|---|
| 3Q25 | $48.4bn | $24.0bn | 49% | $24.5bn | $6.6bn | 0 | n.a. |
| 4Q25 | $52.4bn | $27.9bn | 53% | $24.6bn | n.a. | 0 | $46.5bn |
| 1H26 | $84.9bn | $80.6bn | 95% | $4.3bn | $56.2bn | $30.5bn common + $19.1bn preferred | $98.2bn |
| 3Q26 | $42.3bn | $51.4bn | 121% | -$9.1bn | $29.0bn | $12.4bn (ATM) | $125.1bn |

Commitments at 30 September (10-Q): leases not yet commenced $130.5bn (2026 to 2031, terms 1 to 26 years); purchase commitments $924.4bn ($213.4bn due within 12 months); backstops $75.7bn; financial guarantees $22.8bn; equity funding commitments $21.9bn. Notes face value $127.5bn; 3Q dollar notes at 5.55% weighted coupon, 15-year average life; Aa2/AA+. Net cash about $139bn (cash and securities less debt), including $90.4bn of marketable equity, mostly SpaceX ($75.2bn, partly restricted). Next dollar: senior unsecured near T+33 to T+130 bps at the August deal; no dated post-earnings bond or CDS level found. Per share: diluted count +1.4% YoY; no buybacks since 2025.

*→ Capex now exceeds operating cash flow; the gap is funded by notes and stock, while the larger commitment stack sits in leases and guarantees outside reported debt.*

## 8 Monitoring checklist

**Five signals.** 2027 capex number and funding mix on the January call; 4Q Cloud margin with bridging capacity; Search growth ex-FX in 4Q; Change in backstops, leases not yet commenced and guarantees; TPU revenue or unit disclosure; inventory turning to revenue.

**Key risks building.** Cash: FCF negative two quarters with 4Q capex stepping up. Balance sheet: about $229bn of leases, backstops and guarantees outside reported debt. Search: slower growth as AI Mode scales.

**Confirmation signals.** Cloud margin holds above 33% in 4Q; TPU inventory converts to revenue in 1H27; Search re-accelerates once ads scale in AI Mode.

**Conviction tripwires.** 2027 capex above $330bn without an FCF floor; any further equity beyond the ATM; a backstop being called; Cloud margin below 30%.

**Questions for owners** (post-call; none of the preview's credit questions was asked)

1. **[Credit]** Backstops rose to $75.7bn: $48.0bn executed plus $27.7bn you must still put in place, $10bn for Crux AI. How many counterparties and MW does that cover, what share is with unrated neoclouds, and do your rating agencies count it as debt? Yes or no. *Why it matters: Asked? No. It is the largest debt-like item outside the balance sheet and sets how far Google's credit reaches across the sector.*

2. **[Credit]** Leases not yet commenced rose $45.3bn in one quarter to $130.5bn. How much commences in 2027, and what is lease-adjusted net leverage at year-end 2027 on your plan? *Why it matters: Asked? No. Commencements turn into finance-lease debt and fixed costs ahead of revenue.*

3. **[Credit]** You told us in July you would not return to equity markets beyond the ATM for employee tax. You sold $12.4bn in 3Q. What is the 2027 debt issuance range, and is there a leverage ceiling that would trigger more equity? *Why it matters: Asked? No. Sets the bond supply overhang and dilution risk.*

4. **[Equity]** Your guide implies 4Q capex of $63bn to $73bn after $51.4bn in 3Q. What share is servers vs buildings and power, and how much is TPU systems for sale (inventory) rather than your own fleet? *Why it matters: Asked in part (Sandler): answered as an inventory cycle, no numbers.*

5. **[Equity]** You disclosed $6.6bn of guarantees to repurchase sold TPU hardware. At what discount to cost, over what term, and how does that compare with expected TPU resale values after a first contract? *Why it matters: Asked? No. It is a residual-value floor that moves chip risk back to Google.*

6. **[Equity]** Cloud margin was 36.2% because bridging capacity arrived late. What is the 4Q cost of that capacity and its MW, and when does owned capacity replace it? *Why it matters: Asked in part (Shmulik): deflected.*

**Read-across for Kona.** Google's support for third-party sites is being industrialized: $75.7bn of backstops, including $10bn reserved for Crux AI, a Blackstone joint venture selling TPU compute-as-a-service, and $16.2bn of guarantees that pre-fund counterparties' power equipment. For Kona the most realistic route to Google credit is now to host TPU systems for a Crux-type venture or an approved tenant, and to ask for an equipment guarantee on gensets rather than a lease backstop alone. The new $6.6bn TPU repurchase guarantee shows that residual-value floors are negotiable; Kona should seek one if it ever owns accelerators.